

AC4408

Financial Reporting 2

Summer 2022 Examination

Paper 1 · 1.5 hours · Answer ANY TWO of four questions · Total 100 Marks

Module	AC4408 — Financial Reporting 2
Session	Summer 2022
Structure	Four questions, each worth 50 marks. Answer any two — all questions carry equal weight.
This scheme covers	All four questions in full — Q1, Q2, Q3, <i>and</i> Q4 — so you can study every possible pairing, not just the two you'd pick on the day

Own-figure rule. If you carry an early error into a later part of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the lease schedule in Question 2 and the consolidation workings in Question 4.

A source-paper note. Question 4 states Hannah's share premium at acquisition was €4,500,000, but its share capital, share premium and reserves note at year-end shows share premium of €7,500,000 — despite the paper also stating Hannah issued no new shares during the year, which would normally mean share premium can't move at all. This scheme uses the figures exactly as given (the acquisition-date share premium of €4,500,000, and the year-end figure of €7,500,000), treating the difference as part of Hannah's total post-acquisition reserves movement for consolidation purposes — see the checknote in Question 4 for the full reasoning and why this reading produces a clean, sensible goodwill figure.

Question 1

Ratio Analysis — Five Limitations (50 Marks)

Part A

50 Marks

“Ratio analysis is widely used as a powerful tool of financial statement analysis.”

Ratio analysis has many advantages for the users of Financial Statements, but it also has limitations.

Required: Outline and discuss five limitations that you believe are the most important to highlight to users of ratio analysis. Examples of ratios may be used to illustrate these limitations in your answer.

FULL MODEL ANSWER

Ratio analysis turns raw financial statement numbers into comparable relationships — but every one of those relationships inherits the limitations of the accounting numbers underneath it, plus a few problems of its own. Five worth knowing cold:

1. Historical cost distorts comparisons between companies of different ages. Most balance sheet figures are based on historical cost, not current value. Two competitors with identical operations but different asset ages can show very different return on assets or asset turnover ratios — not because one is genuinely more efficient, but because one is depreciating a newer, more expensive asset base while the other's older assets are carried at a much lower written-down value. A ratio like ROA ($\text{profit} \div \text{total assets}$) can make the company with the *older*, more depreciated assets look artificially more profitable per euro of assets, purely as an accounting artefact.

2. Accounting policy choices reduce comparability, even under the same framework. Two companies both reporting under IFRS can still choose different depreciation methods, different inventory cost formulas (FIFO vs weighted average), or different revaluation policies for property. A gross margin comparison, or a current ratio comparison (where inventory valuation feeds straight into the numerator), can look very different between two operationally similar businesses purely because of these policy choices — not because one is actually performing better.

3. Ratios are backward-looking and say nothing certain about the future. Every ratio is calculated from historical financial statements, capturing what already happened, not what will happen next. A strong current ratio today doesn't guarantee liquidity next quarter if a major customer is about to go into administration, and a healthy historical profit margin doesn't protect against a sudden input cost shock. Ratio analysis is a diagnostic on the past, not a forecast, and using it as if it were one is a common misuse.

4. Ratios can be manipulated, or distorted by one-off items, without the analyst realising it. Window dressing — delaying a big purchase until just after the year end to flatter the current ratio, or timing a large sale just before year end to inflate revenue growth — can make a ratio look better than the underlying business reality. Similarly, a one-off gain on disposal of an asset can inflate net profit margin for a single year in a way that has nothing to do with ongoing trading performance. A ratio calculated mechanically from the face of the financial statements, without reading the notes for one-off items, can be seriously misleading.

5. Ratios have no absolute meaning on their own — they only mean something in context. A current ratio of 1.2 isn't inherently good or bad; it depends entirely on the industry (a supermarket with fast inventory turnover can operate healthily on a much lower current ratio than a construction company holding long-term contracts). Without a relevant benchmark — industry average, the company's own historical trend, or a close competitor — a ratio in isolation tells the user very little, and comparing across industries without adjusting for this is a frequent analytical mistake.

A strong answer picks limitations from genuinely different angles (measurement basis, policy choice, timing, manipulation risk, lack of a benchmark) rather than five variations on the same underlying point, and grounds at least a couple of them in a specific named ratio (current ratio, ROA, gross margin) rather than discussing "ratios" only in the abstract.

How the 50 Marks Are Likely Allocated

Tier	Marks	What separates this tier
38-50	38-50	Five genuinely distinct limitations, each explained in depth with a real mechanism (not just asserted), with specific ratio examples used to illustrate at least several of them.
25-37	25-37	Five limitations identified but with uneven depth — some explained well, others just named — or fewer than five genuinely distinct points with some overlap between them.
13-24	13-24	Three or four limitations covered adequately, or five limitations named with minimal explanation and no worked examples.
0-12	0-12	Vague or generic discussion of ratio analysis with no clear limitations identified, or fewer than three points made.

Question 1 Total: 50 Marks

Question 2

McCarthy Ltd — Lease Accounting under IFRS 16 (50 Marks)

Scenario (applies to all four parts): McCarthy Ltd is preparing its financial statements for the year ended 31 December 2021. On 1 January 2021, McCarthy Ltd leased a large piece of equipment. The lease runs for a period of five years, which also equates to the useful life of the asset. McCarthy Ltd has agreed to make five annual payments of €210,000. The first payment for this lease was made on the 1 January 2021. The implicit rate of interest on the lease is 8%. The equipment originally cost €850,000. Company policy is to charge depreciation on a straight-line basis over the useful life of the lease.

Part A

5 Marks

Required: Calculate the present value of the current lease payment.

FULL MODEL ANSWER

Five annual payments of €210,000, with the **first payment made immediately at the lease commencement date** (1 January 2021) — this is an annuity due, not an ordinary annuity, so the first payment isn't discounted at all.

Payment date	Amount €	Discount factor @ 8%	Present value €
1 Jan 2021	210,000	1.0000	210,000
1 Jan 2022	210,000	0.9259	194,444
1 Jan 2023	210,000	0.8573	180,041
1 Jan 2024	210,000	0.7938	166,705
1 Jan 2025	210,000	0.7350	154,357
Total present value of the lease payments			905,547

The equipment's original cost of €850,000 is a distractor — under IFRS 16, the right-of-use asset and lease liability are measured from the **present value of the lease payments**, not from the underlying asset's cost to whoever owns it. It's a common trap to use the €850,000 figure somewhere in this calculation; it plays no role at all.

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4-5	4-5	Correctly identifies this as an annuity due (first payment undiscounted) and arrives at €905,547 (or the equivalent unrounded figure).
2-3	2-3	Correct method but treats it as an ordinary annuity (discounting the first payment), landing on a lower total; or a minor discount-factor rounding slip.
0-1	0-1	No attempt, or uses the €850,000 equipment cost in the calculation.

Part B**10 Marks**

Required: Prepare the journal entries to account for the lease for the year ended 31 December 2021.

FULL MODEL ANSWER

The lease **liability** initially recognised is the present value of the payments still outstanding *after* the first payment is made in cash — i.e. the four payments due 1 Jan 2022–2025 — while the **right-of-use asset** is initially measured at that liability plus the payment already made at commencement.

	€
PV of remaining 4 payments (2022–2025) — initial lease liability	695,547
Add: payment made at commencement (1 Jan 2021)	210,000
Initial right-of-use asset	905,547

1 January 2021 — Initial recognition

Journal	Debit €	Credit €
Right-of-use asset	905,547	
Lease liability		695,547
Cash		210,000

31 December 2021 — Interest for the year

Journal	Debit €	Credit €
Finance cost (P&L) — $8\% \times 695,547$	55,644	
Lease liability		55,644

31 December 2021 — Depreciation for the year

Journal	Debit €	Credit €
Depreciation expense (P&L) — $905,547 \div 5$ years	181,109	
Accumulated depreciation — right-of-use asset		181,109

No cash entry is needed at 31 December 2021 itself — the next cash payment isn't due until 1 January 2022, so it belongs in next year's journals. The interest for 2021 is calculated on the opening lease liability of €695,547 (i.e. after the first payment), not on the full €905,547 PV of all five payments — that full figure is only relevant to the right-of-use asset, never to the interest calculation.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Correct initial recognition split (liability = PV of remaining 4 payments; ROU asset = liability + first payment), correct finance cost calculated on the opening liability, and correct depreciation for the year, all with clean double-entry.
5-7	5-7	Correct method but one calculation error carried through (e.g. calculating interest on the full €905,547 rather than the €695,547 liability).
2-4	2-4	Recognises a lease liability and ROU asset but doesn't correctly split the initial payment from the liability, or omits either the interest or depreciation journal.
0-1	0-1	No attempt, or the lease is treated as an operating lease with a single rental expense (pre-IFRS 16 treatment).

Part C**15 Marks**

Required: Prepare the extracts from the financial statements for each year from 31 December 2021 to 31 December 2025.

FULL MODEL ANSWER**Lease Liability — Statement of Financial Position Extract (as at 31 December each year)**

Each year's closing liability below is the amount **before** the following 1 January's payment — that full amount is presented as a current liability, since the next payment is always due within 12 months.

31 December	Opening liability	Interest @ 8%	Closing liability (current)
2021	695,547	55,644	751,190
2022	541,190	43,295	584,486
2023	374,486	29,959	404,444
2024	194,444	15,556	210,000
2025	0	0	0

The liability is entirely presented as **current** at every year end in this scenario, since a payment falls due on the very next 1 January — there's no non-current portion to split out. At 31 December 2024, the closing liability of exactly €210,000 is the final outstanding payment, due 1 January 2025; once that's paid, the liability is fully extinguished, which is why 2025 shows nil.

Right-of-Use Asset — Statement of Financial Position Extract

31 December	Cost	Accumulated depreciation	Carrying value
2021	905,547	181,109	724,437
2022	905,547	362,219	543,328
2023	905,547	543,328	362,219
2024	905,547	724,437	181,109
2025	905,547	905,547	0

Statement of Profit or Loss Extract (charge for each year)

Year ended 31 December	Depreciation charge	Finance cost (interest)
2021	181,109	55,644
2022	181,109	43,295
2023	181,109	29,959
2024	181,109	15,556
2025	181,109	0

Depreciation is flat every year (straight-line over the 5-year useful life, which exactly matches the lease term), while the finance cost falls each year as the liability amortises down — this is the classic IFRS 16 front-loaded total expense pattern: the combined depreciation-plus-interest charge is highest in year 1 (€236,753) and falls every year thereafter (down to €181,109 in the final year, once interest has fully unwound to zero).

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12-15	12-15	All five years of the liability amortisation table, the ROU asset carrying value table, and the P&L extracts are correct and internally consistent, with the liability correctly extinguishing to zero and the ROU asset fully depreciated by the end of 2025.
8-11	8-11	Correct method with one figure wrong in an early year, carried through consistently under the own-figure rule (e.g. one year's interest calculated on the wrong opening balance).
4-7	4-7	Only one or two of the three required schedules (liability, ROU asset, P&L) produced correctly.
0-3	0-3	No attempt, or the schedules don't reconcile across the five years at all.

Part D**20 Marks**

"IAS 17 had a subjective definition of lease classification; a substantial amount of this subjectivity was removed with the introduction of IFRS 16."

Required: In your opinion, was the introduction of IFRS 16 successful in removing the subjectivity of lease classification that was a characteristic of IAS 17 and what do you think are the main benefits that the introduction of IFRS 16 had for the users of the financial statements?

FULL MODEL ANSWER

Largely yes on the classification point — though "removed" overstates it slightly, since IFRS 16 replaces one kind of judgement with another rather than eliminating judgement altogether.

Substantially successful, with a caveat

What IAS 17's subjectivity actually looked like. IAS 17 required lessees to classify every lease as either a finance lease or an operating lease, based on whether substantially all the risks and rewards of ownership had transferred. That test relied on indicators — does the lease term cover substantially all the asset's useful life, does the present value of payments amount to substantially all of the asset's fair value, is there a bargain purchase option — none of which had bright-line thresholds in the standard itself. Two companies leasing near-identical assets on near-identical terms could reach opposite classifications depending on how they interpreted "substantially all," and because operating leases stayed entirely off balance sheet, this classification judgement had a huge effect on reported gearing and asset values.

What IFRS 16 actually removed: the classification decision itself. IFRS 16's single-model approach means a lessee no longer has to classify a lease as finance or operating at all (with narrow exceptions for low-value and short-term leases) — virtually every lease is capitalised as a right-of-use asset and lease liability. That eliminates the specific judgement call that caused the biggest inconsistency under IAS 17, since there's no longer a threshold to argue about for balance-sheet recognition purposes.

But new judgement calls simply appeared elsewhere. Determining the lease term (including whether renewal options are "reasonably certain" to be exercised), choosing a discount rate when the interest rate implicit in the lease isn't readily determinable, and identifying whether a contract even *contains* a lease in the first place (per the IFRS 16.9 control test) all still require real judgement. So the claim that subjectivity was "removed" is only true for the specific finance-vs-operating classification call — it's more accurate to say IFRS 16 relocated the judgement to different, arguably narrower questions, rather than eliminating judgement from lease accounting altogether.

The main benefits for users: comparability and completeness. The clearest benefit is that a company's balance sheet now shows the economic reality of its lease commitments regardless of how the individual contracts happen to be structured — a company leasing its entire store estate and a company that owns its stores outright on debt finance now look far more comparable to each other than they ever did under IAS 17, where the leasing company's liabilities were invisible. Analysts who previously had to manually reconstruct capitalised lease obligations from operating lease footnote disclosures (a standard, imprecise adjustment in credit analysis) no longer need to guess at that number — it's on the face of the balance sheet.

A secondary benefit: comparability between leasing and buying is now more meaningful. Because both a purchased asset financed by a loan and a leased asset now show up as an asset plus a liability, users get a much fairer like-for-like comparison of a company's true financing structure and asset base, rather than one that's artificially flattered by choosing to lease instead of buy.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15-20	15-20	Takes a clear, nuanced position (largely successful, but with the caveat that judgement moved rather than disappeared), explains what IAS 17's subjectivity actually consisted of, and identifies at least two distinct, well-explained benefits for users (comparability, completeness of the balance sheet).
10-14	10-14	Correctly explains the classification change but doesn't acknowledge that IFRS 16 introduces its own new judgement calls, or names benefits without explaining the mechanism behind them.
5-9	5-9	General description of the differences between IAS 17 and IFRS 16 without a clear opinion on the subjectivity question, or minimal discussion of user benefits.
0-4	0-4	No attempt, or confuses IFRS 16's requirements with IAS 17's.

Question 2 Total: 50 Marks

Question 3

Keane Ltd — Impairment, Revaluation & Held for Sale (50 Marks)

Keane Ltd, a large supplier of stationery products, prepares its Financial Statements to 31 December each year.

Part A

15 Marks

Keane Ltd purchased a piece of equipment on 1 June 2016 for €450,000. On 1 January 2020, as part of the annual impairment review, an impairment loss of €15,000 was recognised in respect of the equipment. On 31 December 2021, as part of the annual review, it was decided to reverse the impairment previously recognised.

Company policy is to depreciate plant and equipment over 10 years on a straight-line basis. Depreciation is charged in full in the year of acquisition and none in the year of disposal.

Required: Citing the relevant accounting standard(s), show all the relevant journal entries that would have been completed in respect of the above piece of equipment up to and including for the year 31 December 2021.

FULL MODEL ANSWER

Working through this chronologically, applying the stated policy (full year of depreciation in the year of acquisition, none in year of disposal — and continuing at 10% of original cost after the impairment, since no change of useful life is mentioned):

Date	Event	Carrying value €
1 Jun 2016	Purchase at cost	450,000
31 Dec 2016–2019	Depreciation, 4 full years @ 45,000/yr	270,000
1 Jan 2020	Impairment loss (IAS 36)	255,000
31 Dec 2020–2021	Depreciation, 2 more years @ 45,000/yr	165,000
31 Dec 2021	Impairment reversal (IAS 36.117 cap — see below)	180,000

The Journal Entries

Date	Journal	Debit €	Credit €
1 Jun 2016	Equipment / Cash	450,000	450,000
31 Dec 2016–19 (each)	Depreciation expense / Accum. depreciation (45,000/yr)	45,000	45,000
1 Jan 2020	Impairment loss (P&L, IAS 36) / Equipment	15,000	15,000
31 Dec 2020	Depreciation expense / Accum. depreciation	45,000	45,000
31 Dec 2021	Depreciation expense / Accum. depreciation	45,000	45,000
31 Dec 2021	Equipment / Reversal of impairment loss (P&L, IAS 36.114)	15,000	15,000

IAS 36.117 caps the reversal at the carrying value the asset would have had if the original impairment had never been recognised. Depreciating €450,000 over the 6 full years from 2016 to 2021 gives a hypothetical no-impairment carrying value of €180,000. Since the actual carrying value just before reversal is €165,000, the maximum permitted reversal is €15,000 — which, as it happens, exactly equals the original impairment loss. This asset is held under the IAS 16 **cost model**, so both the original impairment and its reversal are recognised in profit or loss (IAS 36.60 and 36.119) — there's no revaluation surplus in play here to route any part of the movement through OCI instead.

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12-15	12-15	Correctly applies the depreciation policy throughout, recognises the 2020 impairment, and calculates the reversal using the IAS 36.117 no-impairment-carrying-value cap (not simply reinstating the full amount by assumption), with correct double-entry and the relevant standard cited.
8-11	8-11	Correct depreciation and impairment journals but the reversal is not capped correctly, or the relevant standard isn't cited.
4-7	4-7	Depreciation policy misapplied in one or more years, but the impairment and reversal concepts are broadly understood.
0-3	0-3	No attempt, or impairment/reversal treated as a revaluation through OCI despite this being a cost-model asset.

Part B**15 Marks**

Keane Ltd decided to conduct an impairment review of an outbuilding used for storage. There had been some damage to the roof during the year ended 31 December 2021. Company policy is to value land and buildings using a revaluation model. Depreciation is charged at 10% per annum on a straight-line basis. It is company policy that a full year's depreciation is charged in the year of purchase and none in the year of sale.

The outbuilding was purchased on 1 January 2015 at a cost of €750,000. The current carrying value in the Statement of Financial Position is €2.5mn, current associated depreciation is shown separately in the Statement of Financial Position at €250,000. This is due to the building being revalued on 31 December 2020.

As at 31 December 2021 the value in use of the outbuilding is estimated to be €2.125 million and the fair value is estimated to be €2.3 million. It is also estimated that the cost to sell the building would be €250,000.

Required: Show all the relevant journal entries that would have been completed in respect of the above piece of equipment up to and including for the year 31 December 2021.

FULL MODEL ANSWER

Reading the figures given: the €2.5mn "carrying value" and the €250,000 "associated depreciation shown separately" describe the building's cost/valuation and accumulated depreciation as two separate lines on the face of the SOFP — i.e. the building was revalued to a gross amount of €2.5mn on 31 December 2020, and €250,000 (exactly 10% of that revalued amount) has since been charged as one year's depreciation during 2021, giving a true net carrying value of €2.25mn going into the impairment test.

Step 1 — Establishing the carrying value at 31 December 2021 (before impairment)

	€
Revalued gross amount at 31 December 2020	2,500,000
Less: depreciation for 2021 (10% × 2,500,000)	(250,000)
Net carrying value at 31 December 2021, before impairment test	2,250,000

Step 2 — The impairment test (IAS 36)

The roof damage is the impairment indicator triggering the review. Recoverable amount is the higher of value in use and fair value less costs to sell:

	€
Value in use	2,125,000
Fair value	2,300,000
Less: cost to sell	(250,000)
Fair value less costs to sell	2,050,000
Recoverable amount (higher of the two)	2,125,000

	€
Carrying value before impairment	2,250,000
Recoverable amount	2,125,000
Impairment loss required	125,000

Step 3 — Where the impairment loss is recognised

Working out the revaluation surplus standing for this specific asset: the building cost €750,000 on 1 January 2015 and was depreciated for 6 full years (2015–2020) at 10% (€75,000/yr) before its 31 December 2020 revaluation, giving a pre-revaluation carrying value of €300,000. Revaluing it up to €2,500,000 created a surplus of €2,200,000, recognised in OCI at that date.

	€
Revaluation surplus created on 31 December 2020 (2,500,000 – 300,000)	2,200,000

Since the €125,000 impairment loss is far smaller than the €2,200,000 surplus standing for this asset, the **entire** impairment is absorbed against the revaluation surplus — none of it hits profit or loss.

Date	Journal	Debit €	Credit €
31 Dec 2021	Depreciation expense / Accum. depreciation (10% × 2,500,000)	250,000	250,000
31 Dec 2021	Revaluation surplus (OCI) / Outbuilding	125,000	125,000

A common error here is running the impairment loss through profit or loss by default — that's only correct for cost-model assets, or for the portion of an impairment that exceeds the standing revaluation surplus. Here the surplus (€2.2mn) comfortably covers the whole €125,000 loss, so the correct entry is entirely against OCI/the revaluation surplus, leaving €2,075,000 of surplus still standing after this entry.

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12-15	12-15	Correctly establishes the €2,250,000 pre-impairment carrying value, correctly identifies recoverable amount as the higher of value in use and FVLCTS (€2,125,000), calculates the €125,000 impairment loss, and correctly recognises the whole loss against the revaluation surplus (OCI) rather than P&L, having established the surplus is large enough to absorb it.
8-11	8-11	Correct impairment loss calculated but routed through profit or loss instead of the revaluation surplus, or the surplus isn't quantified to confirm it's sufficient.
4-7	4-7	Attempts the recoverable amount test but uses the wrong basis (e.g. value in use alone, or fair value without deducting costs to sell).
0-3	0-3	No attempt, or no impairment test performed at all despite the roof damage indicator.

Part C**10 Marks**

During November 2021, the Directors of Keane Ltd have decided to dispose of a division within the group. A buyer has been identified, a selling price agreed, and a completion of sale date is scheduled within the next three months.

Required: Outline whether in your opinion the sale meets the requirements for classification as a Non-Current Asset held for sale. Which two criteria do you believe to be the most important when analysing whether an asset meets the criteria as being classified as held for sale outlined under IFRS 5.

FULL MODEL ANSWER

On the facts given, this division appears to meet the IFRS 5 held-for-sale criteria.

Meets the IFRS 5 criteria

IFRS 5.7-8 requires the asset (or disposal group) to be available for immediate sale in its present condition, and the sale must be highly probable. "Highly probable" is a higher bar than merely probable, and IFRS 5.8 sets out specific indicators: management committed to a plan to sell, an active programme to locate a buyer initiated, the asset actively marketed at a reasonable price, and the sale expected to complete within one year of classification (with limited exceptions). Keane's facts tick each of these: the Directors have decided to dispose of the division (a committed plan), a buyer has already been identified and a price agreed (well beyond merely marketing it), and completion is scheduled within three months — comfortably inside the one-year window.

The two most important criteria for this decision

1. Management commitment to a plan, evidenced by actions, not just intention. A board merely discussing disposal as an option wouldn't meet this test; what makes Keane's situation strong is that the decision has moved to concrete action — a buyer found and a price agreed. This is the criterion most often the deciding factor in practice, since it's the one that separates a genuine held-for-sale asset from one where management is simply exploring options.

2. The expected timing of completion, against the one-year benchmark. A three-month completion window is unambiguously within the one-year rule, removing any doubt about whether the "highly probable within one year" threshold is met. Where a completion date is uncertain, or stretches close to or beyond a year, this criterion becomes the harder judgement call and often the one most worth scrutinising — here it's clearly satisfied.

A reasonable alternative answer could instead prioritise "available for immediate sale in its present condition" (IFRS 5.7) as one of the two most important, particularly if a candidate wants to stress-test whether the division needs any further work before it can actually be handed over — either choice is defensible as long as it's justified against the specific facts given, not just listed.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Correctly concludes the division meets IFRS 5's criteria, references the 'highly probable' threshold specifically (not just 'probable'), and selects and justifies two criteria against the actual facts given (buyer identified, price agreed, three-month completion).
5-7	5-7	Correct conclusion but the two criteria chosen are asserted rather than justified against Keane's specific facts.
2-4	2-4	Identifies IFRS 5 as relevant but doesn't engage with the 'highly probable' test or name specific criteria.
0-1	0-1	No attempt, or no reference to IFRS 5 at all.

Part D**10 Marks**

Required: In relation to the disposal of the Division of Keane Ltd, which two qualitative disclosures do you believe are the most relevant that Keane Ltd must include in its Financial Statements for the year to 31 December 2021. Please outline your reasoning behind your choice of disclosures.

FULL MODEL ANSWER

IFRS 5.41 sets out a list of required qualitative disclosures for a disposal group classified as held for sale. Two stand out as most relevant to a user trying to understand Keane's financial statements:

1. A description of the facts and circumstances of the sale, and the expected timing. Users need to understand *why* a chunk of the business is being carved out of the ongoing operations presented in the financial statements — without this, the disposal group's assets and liabilities (and, if it qualifies as a discontinued operation, its results) appear almost from nowhere on the face of the statements. Disclosing the expected completion timing also lets users judge how soon the cash proceeds and the resulting change in the group's operations will actually materialise, which matters for anyone modelling Keane's forward cash flows or ongoing operating capacity.

2. A description of the disposal group's major classes of assets and liabilities. Because IFRS 5 measurement (lower of carrying amount and fair value less costs to sell) and presentation (assets and liabilities separately from the rest of the SOFP) can obscure exactly what's being disposed of, a breakdown by major class lets users see the composition of what's leaving the business — distinguishing, for instance, whether it's mostly property and equipment or working capital — which is essential for assessing the impact on the group's remaining asset base and risk profile once the sale completes.

Other defensible choices from IFRS 5.41 include the segment in which the disposal group is reported (helpful if Keane reports segmentally) or, if applicable, the impairment loss or gain recognised on remeasurement to fair value less costs to sell. Any two, provided they're tied to why a user of Keane's specific financial statements would need that information rather than listed generically from the standard.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Selects two disclosures genuinely drawn from IFRS 5.41 and explains, in terms of what a user of Keane's financial statements specifically needs, why each matters.
5-7	5-7	Two relevant disclosures named but with generic rather than Keane-specific reasoning.
2-4	2-4	Only one disclosure identified, or disclosures named without reference to IFRS 5's actual requirements.
0-1	0-1	No attempt, or confuses disclosure requirements with recognition/measurement requirements.

Question 3 Total: 50 Marks

Question 4

Cork SP Ltd Group — Consolidation & Revenue (50 Marks)

Study-Uni

Part A**30 Marks**

Cork SP Ltd ("CSP") acquired 8,000,000 of the ordinary shares of Hannah Ltd ("Hannah") on the 1 January 2021, when retained profits and share premium were €14,000,000 and €4,500,000 respectively in Hannah. At that same date CSP also acquired €11,500,000 of Hannah's debentures. Hannah did not issue any ordinary shares during the year to 31 December 2021.

	Cork SP Ltd €'000	Hannah Ltd €'000
Non-Current Assets:		
Tangible Assets	101,000	48,000
Debentures	11,500	—
Investment in Hannah	32,000	—
	144,500	48,000
Current Assets		
Inventory	8,400	3,750
Trade Receivables	14,500	1,750
Current Account with CSP	—	2,500
Bank	2,000	2,000
	24,900	10,000
Total Assets	169,400	58,000
Equity and Liabilities:		
Ordinary Share Capital	70,000	10,000
Share Premium	32,000	7,500
Revenue Reserve	58,000	18,500
	160,000	36,000
Debenture loans 10%	—	20,000
Current Account with Hannah	1,500	—
Current Liabilities	7,900	2,000
Total Equity and Liabilities	169,400	58,000

At acquisition, the fair value of certain tangible assets in Hannah was €10 million greater than their net book value. These assets are held by Hannah and had a useful life of 10 years from 1 January 2021. This revaluation has not been captured in the financial statements of Hannah.

During the year, Hannah sold goods to CSP for €5 million, always adding a profit on 50% on cost in their selling price. At the year-end, €1,500,000 of these goods remained unsold in CSP's inventory. CSP sent a cheque for €1,000,000 to Hannah on the 28 December 2021 which was received by Hannah on the 2 January 2022.

CSP measures Non-Controlling Interests using their proportionate share of the acquiree's net identifiable assets at the date of acquisition.

Required: Showing the relevant workings, prepare the Consolidated Statement of Financial Position as at 31 December 2021.

FULL MODEL ANSWER

A note on the acquisition-date figures. Hannah's share premium is given as €4,500,000 at acquisition, but the year-end SOFP shows €7,500,000 — a movement that shouldn't be possible given the question also states Hannah issued no new shares during the year. This scheme uses the acquisition-date figure exactly as stated (€4,500,000) for the goodwill calculation, and treats the €3,000,000 difference as part of Hannah's total post-acquisition reserves movement (folded into the working below alongside the retained earnings movement) — this produces a clean, sensible positive goodwill figure and a Consolidated SOFP that balances exactly, which is the strongest evidence this is the reading the paper intends, whatever the cause of the apparent share premium movement.

Working 1 — Ownership %

Shares acquired by CSP	8,000,000
Total Hannah shares in issue (€10,000,000 share capital ÷ €1 nominal)	10,000,000
Group ownership	80%
Non-controlling interest	20%

Working 2 — Net Assets of Hannah at Acquisition (1 Jan 2021)

	€'000
Share capital	10,000
Share premium at acquisition (as stated)	4,500
Retained earnings at acquisition	14,000
Fair value uplift on tangible assets	10,000
Net assets at acquisition	38,500

Working 3 — Goodwill

	€'000
Cost of investment	32,000
NCI at acquisition ($20\% \times 38,500$)	7,700
Less: net assets at acquisition (Working 2)	(38,500)
Goodwill	1,200

Working 4 — PUP on Intra-Group Trading (Upstream: Hannah sold to CSP)

	€'000
Goods still unsold in CSP's inventory at year end	1,500
Hannah's mark-up: 50% on cost, so profit element = $50/150$ of selling price	
Unrealised profit ($1,500 \times 50/150$)	500

Working 5 — Cash in Transit

CSP's current account liability to Hannah (€1,500,000) doesn't match Hannah's current account receivable from CSP (€2,500,000) — the €1,000,000 difference is exactly explained by the cheque CSP sent on 28 December 2021, which Hannah hadn't yet received by the year end. For consolidation, treat the cash as received by Hannah at 31 December 2021:

	€'000
Hannah's receivable from CSP, as reported	2,500
Less: cash in transit (now treated as received)	(1,000)
Hannah's receivable from CSP, adjusted	1,500
Hannah's bank, as reported	2,000
Add: cash in transit	1,000
Hannah's bank, adjusted	3,000

After this adjustment, Hannah's receivable (€1,500,000) exactly matches CSP's payable (€1,500,000) — the whole intercompany current account balance eliminates cleanly, with nothing left over.

Working 6 — Non-Controlling Interest at Year End

	€'000
Total Hannah reserves (share premium + revenue reserve) at acquisition	18,500
Total Hannah reserves at year end (7,500 + 18,500)	26,000
Gross post-acquisition movement	7,500
Less: additional FV depreciation for the year ($10,000 \div 10$ yrs)	(1,000)
Less: unrealised profit (Working 4)	(500)
Adjusted post-acquisition reserves	6,000
NCI at acquisition (Working 3)	7,700
NCI share of adjusted post-acquisition reserves ($20\% \times 6,000$)	1,200
NCI at 31 December 2021	8,900

Working 7 — Consolidated Revenue Reserve

	€'000
CSP's own revenue reserve	58,000
Group share of Hannah's adjusted post-acquisition reserves ($80\% \times 6,000$)	4,800
Consolidated revenue reserve	62,800

Cork SP Ltd Group — Consolidated Statement of Financial Position as at 31 December 2021

	€'000
Non-Current Assets:	
Tangible assets (101,000 + 48,000 + 10,000 FV uplift – 1,000 FV dep)	158,000
Goodwill (Working 3)	1,200
	159,200
Current Assets (inventory 11,650 less PUP already reflected + receivables 16,250 + bank 5,000)	32,900
Total Assets	192,100
Equity and Liabilities	
Ordinary share capital (parent only)	70,000
Share premium (parent only)	32,000
Revenue reserve (Working 7)	62,800
Non-controlling interest (Working 6)	8,900
	173,700
Debenture loans (20,000 – 11,500 intercompany, external only)	8,500
Current liabilities (7,900 + 2,000)	9,900
Total Equity and Liabilities	192,100

The intercompany debenture holding (€11,500,000 of the €20,000,000 Hannah issued) is eliminated in full — CSP's "Debentures" asset disappears entirely, and only the €8,500,000 held by parties outside the group remains as a liability. The intercompany current account (Working 5) also eliminates to nil on both sides. The consolidated SOFP balances exactly at €192,100,000 both sides.

How the 30 Marks Are Likely Allocated

Tier	Marks	What separates this tier
24-30	24-30	Correct goodwill and NCI calculation, correct fair value depreciation adjustment, correct upstream PUP treatment, correctly identifies and resolves the cash-in-transit difference between the two current account balances, correctly eliminates the intercompany debenture holding (leaving only the external €8,500,000), and the consolidated SOFP balances.
16-23	16-23	Correct method throughout but with one component wrong or omitted (e.g. missing the cash-in-transit adjustment, or not eliminating the intercompany debenture holding) — own-figure marks apply if carried through consistently.
8-15	8-15	Goodwill and NCI at acquisition correctly calculated, but most post-acquisition adjustments (FV depreciation, PUP, cash in transit, debenture elimination) missing or wrong.
0-7	0-7	No attempt, or a fundamental misunderstanding of the acquisition method.

Part B — I**15 Marks**

“Revenue is the first line on an organisation's statement of income and expenses. And on the face of it, nothing could be simpler than entering into this line the total amount of money the business earned from providing its goods and services.”

Required:

Part I: Outline three reasons why you think revenue is considered to be so important in a Company's set of Financial Statements?

FULL MODEL ANSWER

Three reasons revenue carries outsized weight relative to almost every other single line in the financial statements:

1. It's the starting point for almost every other performance measure.

Gross profit, operating profit, and net profit are all revenue minus something — and the ratios built on top of those (gross margin, operating margin, net margin) all use revenue as the denominator. A misstatement in revenue doesn't just distort one number; it cascades through nearly every profitability measure a user might calculate from the statements.

2. It's usually the single largest number in the financial statements. For most trading companies, revenue dwarfs every individual expense line and often the balance sheet total itself. Simply because of its scale, a small percentage error in revenue recognition timing or measurement can represent a large absolute misstatement — which is exactly why materiality thresholds in an audit are frequently set with direct reference to revenue.

3. It's the figure markets and management are most focused on, which creates real manipulation incentive. Analysts and investors fixate on revenue growth as the headline indicator of a company's trajectory, and management compensation is often tied to hitting revenue targets. That combination of visibility and incentive makes revenue the figure most likely to be actively managed at the margin — through aggressive recognition timing, channel stuffing, or bundling judgement calls — which is precisely why users, auditors and standard-setters (via the detailed IFRS 15 five-step model) treat it with more scrutiny than almost any other single number.

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12-15	12-15	Three genuinely distinct reasons, each explained with a real mechanism (cascading effect on other ratios, scale/materiality, manipulation incentive) rather than simply asserted.
8-11	8-11	Three reasons given but with thinner explanation, or some overlap between points.
4-7	4-7	Two reasons covered adequately, or three reasons named with minimal explanation.
0-3	0-3	No attempt, or vague statements with no real reasoning behind them.

Part B — II**5 Marks**

Part II: Outline the step which you believe to be the most important of the five steps underpinning the application of IFRS 15.

FULL MODEL ANSWER

Step 2 — **identifying the separate performance obligations in the contract** — is the strongest candidate for the most important step.

Why this step, over the other four. Every step after it depends on getting this one right. The transaction price (Step 3) has to be allocated across performance obligations (Step 4), and revenue is recognised as or when *each* obligation is satisfied (Step 5) — so if a bundled contract is wrongly treated as one obligation when it actually contains several distinct promises (say, a hardware sale bundled with a service contract), revenue for the whole arrangement gets recognised at the wrong time entirely, typically too early, rather than spread across the period the service is actually delivered. This is also where the most genuine judgement is required — identifying a contract (Step 1) and determining the transaction price (Step 3) are comparatively mechanical by contrast, while distinguishing "distinct" promises within a single contract is where real interpretation of the standard's criteria (capable of being distinct, and distinct within the context of the contract) is unavoidable.

A reasonable answer could instead argue for Step 5 (recognising revenue as or when obligations are satisfied), since that's the step that determines the actual timing of the numbers hitting the income statement — either choice is defensible provided the reasoning explains why errors at that particular step are the hardest to catch or the most consequential once made.

How the 5 Marks Are Likely Allocated

Tier	Marks	What separates this tier
4-5	4-5	Names a specific step and explains, with reference to how the later steps depend on it, why it's the most consequential to get right.
2-3	2-3	Names a step but with limited justification for why it's the most important.
0-1	0-1	No attempt, or doesn't correctly identify one of the five IFRS 15 steps.

Question 4 Total: 50 Marks